

ASCII MASTER FLOW – PANEL 1/12: Democratic audit purpose and accountability chain

LEGISLATURE AUTHORISES

tax, appropriation and public purposes

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EXECUTIVE COLLECTS / SPENDS / RECORDS

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CAG TESTS INDEPENDENT EVIDENCE

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President or Governor causes report to be laid

|

PAC / CoPU / legislature scrutinises -> executive responds

LIMIT: audit informs control; it does not govern, punish or recover by itself.

MUST REMEMBER: Separate constitutional status under Articles 148-151 from the detailed audit mandate supplied by the CAG's DPC Act, 1971 and its amendments.

ASCII MASTER FLOW – PANEL 2/12: Articles 148-151 constitutional spine

ARTICLE 148 -> office, oath, removal safeguards, IAAD and charged expenses

ARTICLE 149 -> duties and powers prescribed by or under parliamentary law

ARTICLE 150 -> President prescribes Union/State account form on CAG advice

ARTICLE 151 -> CAG -> President/Governor -> legislature

TRAP: the Constitution neither states the six-year/65 rule nor lists every audit type.

ASCII MASTER FLOW – PANEL 3/12: Appointment tenure removal and independence

APPOINTMENT -> President, warrant under hand and seal

OATH -> President or nominee; Third Schedule

TENURE -> DPC Act section 4: six years or age 65, whichever earlier

REMOVAL -> same manner and grounds as Supreme Court Judge

INSULATION -> no disadvantageous variation; charged office expenses; no further office

LIMIT: strong post-appointment protection does not answer selection-process criticism.

CURRENT OFFICEHOLDER: 5 SEPTEMBER 2026

K. Sanjay Murthy was sworn in and assumed office on 21 November 2024.

The officeholder changes; Article 148 and section 4 tenure rules do not.

ASCTI MASTER FLOW – PANEL 4/12: Audit accounts and the 1976 boundary

ACCOUNTS create and compile the financial record

AUDIT independently tests records and transactions

1976 UNION DEPARTMENTALISATION -> ministries assumed much Union compilation

DPC ACT SECTIONS 10-12 -> residual accounts roles where responsibility remains

DPC ACT SECTIONS 13-20 -> audit mandate continues

INDIA: predominantly ex-post auditor, not routine pre-withdrawal comptroller.

ASCII MASTER FLOW – PANEL 5/12: Public funds receipts grants and access

SECTION 13 -> Consolidated Fund expenditure and fund transactions

SECTION 14 -> substantially financed bodies under statutory tests

SECTION 15 -> specific-purpose grants/loans and sanctioning procedures

SECTION 16 -> receipts payable into Consolidated Funds

SECTION 17 -> stores and stock | SECTION 18 -> records and information

TEST: entity -> public-money nexus -> legal gateway -> proportionate record access.

ASCII MASTER FLOW – PANEL 6/12: Financial compliance propriety and performance audit

FINANCIAL -> is financial information fairly presented?

COMPLIANCE -> were law, sanction, rule and contract followed?

PROPRIETY -> was discretion faithful, prudent and economical?

PERFORMANCE -> economy + efficiency + effectiveness

RECEIPTS / IT / ENVIRONMENT -> specialised objects or methods within legal mandate

BOUNDARY: test implementation and results; do not replace a lawful policy choice.

CLOSE DISTINCTION: The CAG is an ex-post auditor and reports through legislatures; it does not pre-authorise expenditure, prosecute wrongdoing or enforce PAC action.

ASCII MASTER FLOW – PANEL 7/12: Government companies and statutory corporations

GOVERNMENT COMPANY

Companies Act section 139 -> CAG appoints statutory auditor

section 143 -> directions, supplementary audit/comments and test audit

STATUTORY CORPORATION

establishing law + DPC Act section 19 determine the route

TRAP: ownership label alone does not establish identical CAG coverage.

ASCII MASTER FLOW – PANEL 8/12: Private entities PPPs and revenue nexus

PRIVATE STATUS DOES NOT BAR OR CREATE AUDIT

Sections 14 / 15 / 16 / 20 or a special law must supply the gateway

PPP audit follows grants, guarantees, assets, user fees or revenue share only as authorised

TELECOM CASE (2014) -> records needed to verify Union revenue share could be accessed

LIMIT: audit of the public nexus is not universal audit of unrelated private business.

ASCII MASTER FLOW – PANEL 9/12: Local bodies and federal audit variation

ARTICLES 243J / 243Z -> State legislatures provide local-account audit arrangements

STATE LAW -> primary auditor and procedure may vary

CAG -> direct statutory/entrusted audit where applicable

TECHNICAL GUIDANCE AND SUPPORT -> capacity and standardisation route

FINANCE COMMISSION LINK -> local grants require traceable accounts and audit

TRAP: India has no single uniform constitutional CAG audit model for every local body.

ASCII MASTER FLOW – PANEL 10/12: Reports PAC CoPU and legislative follow-up

UNION: CAG -> President -> both Houses

STATE: CAG -> Governor -> State legislature

PAC -> appropriation / finance accounts and relevant CAG reports

CoPU -> public undertakings and related CAG reports

COMMITTEE -> evidence -> finding -> action-taken response -> follow-up

CAG assists technically; report != committee conclusion != automatic liability.

ASCII MASTER FLOW – PANEL 11/12: Judicial controls and legal limits

ARVIND GUPTA (2012) -> performance audit and the three Es supported

S. SUBRAMANIAM BALAJI (2013) -> post-expenditure legality, validity and propriety

ARUN KUMAR AGRAWAL (2013) -> CAG report respected but legislative scrutiny remains

Association of Unified Telecom Service Providers of India v. Union of India (2014) ->
revenue-share access, not universal private audit

SYNTHESIS: broad evidence role + ex-post timing + no adjudicatory finality.

ASCII MASTER FLOW – PANEL 12/12: Comparison reform PYQ routes and answer spine

CAG -> constitutional audit | CGA -> Union executive accounting

FINANCE COMMISSION -> Article 280 transfers | CAG -> Article 279 net proceeds certificate

REFORM -> transparent selection + secure data + PPP clauses + timely tabling/follow-up

PYQ 2018 -> appointment, terms and powers

PYQ 2024 -> legality plus propriety

MAINS SPINE: independence -> mandate -> audit type/entity route -> report chain

-> limit -> targeted reform -> evidence-led accountability verdict.

LEGAL/SOURCE LIMIT: The official CAG page identifies K. Sanjay Murthy as CAG from 21 November 2024; the statutory term remains six years or age sixty-five.